fact, it is misleading to call the theory of a corporate entity a fiction. It is a "fiction" only in the sense of an act of "imagining" —it is not an arbitrary assumption without regard to fact, and does not involve a false deduction or conclusion. For the act of "imagining" a certain relation for the purpose of giving effect to the real intention of the parties and expressing a thought grounded in the nature of things, involves something very real and true rather than false. The corporate entity theory, therefore, is of precisely the same nature as the doctrine of implied conditions in contracts and the doctrine of relation in the law of agency. And if it is called a fiction, it can be so called only in the same sense in which these other doctrines of implied conditions and relation can be called fictions.

Such being the legal conception of the nature of a corporation, justice requires that the principle of law which is based upon it should be firmly and consistently applied, and the fact is that it is so applied both in courts of law and equity. So far from its being a dead principle, it manifests itself to-day in the decisions of our courts as a principle which is just as alive and vigorous as it was in the days of Imperial Rome. Accordingly, we find that in all cases involving the rights and obligations arising out of contract or tort or the ownership of property, it is uniformly held that as between the corporation and third persons, it is the corporation and the corporation alone which must sue or be sued. For, in legal contemplation, the contracts and torts of a corporation are its contracts and torts, and not those of its members. Furthermore, the corporation is not, in point of law, deemed to be the agent or trustee for its stockholders, nor are the stockholders regarded as the real parties in interest or the persons for whose benefit the contracts of the corporation are made.[3]

[3]Salomon *v.* Salomon & Co., Ltd. [1897] A. C. 22, 43, *per* Lord Herschell: "In a popular sense, a company may in every case be said to carry on business for and on behalf of its stockholders; but this certainly does not in point of law constitute the relation of principal and agent between them, or render the shareholders liable to indemnify the company against the debts which it incurs." See also 14 Columbia Law Rev. 470, and note. If the corporation were in fact the agent for its shareholders, or the shareholders were the persons for whose benefit the corporation enters into its contracts, the shareholders could sue and be sued, either in accordance with the doctrine of undisclosed principal or the doctrine of the real parties in interest or the doctrine as to third persons for whose benefit contracts are made. But this result is not recognized or suggested in any of the authorities.

In Bank of the United States *v.* Deveaux (1809) 9 U. S. 61, Chief Justice Marshall, having held that a corporation could not be a citizen within the Constitution and Federal Statute granting to the courts of the United States jurisdiction in case of "controversies between citizens of different